Parade Technologies Reports Fourth Quarter and Fiscal 2025 Financial Results

Financial Highlights:

- Q425 consolidated revenue US$125.22 million, compared with US$127.41 million in the year-ago quarter
- Q425 consolidated net income US$17.53 million; Basic and Fully diluted after-tax EPS US$0.22 (NT$6.97) and US$0.22 (NT$6.94), respectively

Parade Technologies, Ltd. today announced its financial results for the fourth fiscal quarter and fiscal year 2025 ended December 31, 2025, and provided guidance for the first quarter of fiscal year 2026.

Consolidated revenue was US$125.22 million and consolidated net income was US$17.53 million. Basic and fully diluted after-tax earnings per share ("EPS") were US$0.22 (NT$6.97) and US$0.22 (NT$6.94), respectively. These results compared to consolidated revenue US$127.41 million and consolidated net income of US$21.30 million, or US$0.27 (NT$8.69) and US$0.27 (NT$8.66) per basic and fully diluted share, in the year-ago quarter.

In US dollars, the fourth quarter of 2025 consolidated revenue decreased 14.32% sequentially and was down 1.72% year-over-year.

The gross profit in the fourth quarter of 2025 was US$52.63 million, representing a decrease of 15.27% from the previous quarter and a decrease of 2.11% compared to the same quarter of last year.

The Company also reported financial results for fiscal year 2025. Consolidated revenue was US$531.09 million, representing an increase of 5.00% from US$505.81 million in the prior year. Gross profit was US$226.01 million and operating income was US$87.20 million. Net income for fiscal year 2025 was US$87.75 million, or US$1.11 (NT$34.51) per basic share and US$1.10 (NT$34.31) per fully diluted share. These results compared with net income of US$80.68 million, or US$1.01 (NT$32.55) per basic share and US$1.01 (NT$32.39) per fully diluted share in the prior year.

On November 11, 2025, Parade introduced the TC1316V device, the world's first fully integrated AEC-Q100 qualified embedded DisplayPort (eDP) Touch with Tcon Embedded Driver (TTED). This new device targets next-generation automotive cockpit LCD displays requiring high resolution and high refresh rates. The TC1316V combines Parade's broad portfolio of patented touchscreen technology and market proven eDP Tcon, in-cell and high-speed signal technology, to provide excellent picture quality and responsive touch performance. The TC1316V leverages Parade's TrueTouch™ patented technology and design expertise, built on the experience of shipping over one billion touch devices and proven in-cell performance from the consumer notebook market. The device delivers superior EMI suppression, low power consumption and advanced signal processing algorithms to ensure reliable and responsive touch for the automotive cabin.

Parade

Based on current business outlook, Parade is providing the following guidance for the first quarter of fiscal 2026:

- Revenue: US$119.75 ~132.25 Million
- Gross Margin: 40% ~44%
- Operating Expense: US$33.0 ~36.0 Million

The financial figures detailed above for the fourth quarter of 2025 and for the year ended December 31, 2025 have not been audited or reviewed by independent accountants.

About Parade Technologies, Ltd.

Parade Technologies, Ltd. is a leading supplier of mixed-signal ICs for a variety of popular display and high-speed interface standards used in computers, consumer electronics and display panels. The fabless semiconductor company was founded in 2005 and publicly listed on Taipei Exchange ("TPEx") in 2011 (stock code: 4966). Parade's portfolio of IC products serves the growing demand for HDMI™, DisplayPort™, SATA, and USB ICs for display, storage and interface applications.

In addition to being a technology innovator, Parade is an active participant and leader in industry standards-setting organizations. Parade Technologies, Inc., a wholly owned US-based subsidiary of Parade Technologies, Ltd., is a member of VESA (Video Electronics Standard Association). Parade Technologies, Inc. has made key contributions to the development of VESA's DisplayPort™ digital video interface standard.

Parade leverages its close relationships with market leading Tier-1 OEMs to develop ICs that provide unique system capabilities. Many of the company's devices integrate proprietary technologies that offer superior system signal integrity, advanced system integration and enhanced power efficiency. As a result of the company's "standards-plus" design philosophy, Parade ICs have been designed into products offered by nearly every leading computer and display vendor worldwide.



Parade Technologies, Ltd. and Subsidiaries.

The reader is advised that these consolidated financial statements have been prepared originally in NT$ and conformed with the adoption of IFRSs. In the event of any differences between NT$ and US$ version, the NT$ version shall prevail.

UNAUDITED CONSOLIDATED INCOME STATEMENTS

	USD in Thousands						NTD in Thousands					
	Sequential Quarter		Three Months ended		Twelve Months ended		Sequential Quarter		Three Months ended		Twelve Months ended	
	Dec 31, 2025	Sep 30, 2025	Dec 31, 2025	Dec 31, 2024	Dec 31, 2025	Dec 31, 2024	Dec 31, 2025	Sep 30, 2025	Dec 31, 2025	Dec 31, 2024	Dec 31, 2025	Dec 31, 2024
Revenue	125,217	146,144	125,217	127,413	531,087	505,808	3,887,990	4,377,025	3,887,990	4,120,533	16,531,048	16,245,645
Cost of goods sold	72,590	84,033	72,590	73,651	305,082	290,864	2,253,952	2,516,771	2,253,952	2,381,895	9,496,312	9,342,425
Gross profit	52,627	62,111	52,627	53,762	226,005	214,944	1,634,038	1,860,254	1,634,038	1,738,638	7,034,736	6,903,220
Research & development expenses	23,902	23,387	23,902	21,983	93,378	90,739	742,130	700,435	742,130	710,934	2,909,870	2,913,474
Sales & marketing expenses	7,242	7,117	7,242	6,492	27,192	28,472	224,869	213,165	224,869	209,940	846,748	913,994
General & administrative expenses	4,383	4,485	4,383	4,727	18,237	19,429	136,082	134,356	136,082	152,869	568,965	623,672
Total operating expenses	35,527	34,989	35,527	33,202	138,807	138,640	1,103,081	1,047,956	1,103,081	1,073,743	4,325,583	4,451,140
Operating income	17,100	27,122	17,100	20,560	87,198	76,304	530,957	812,298	530,957	664,895	2,709,153	2,452,080
Non-operating income	2,084	2,309	2,084	2,586	8,771	11,051	64,712	69,163	64,712	83,646	273,241	355,081
Income before income taxes	19,184	29,431	19,184	23,146	95,969	87,355	595,669	881,461	595,669	748,541	2,982,394	2,807,161
Income tax expense	1,652	2,188	1,652	1,842	8,215	6,678	51,293	65,541	51,293	59,574	255,681	215,038
Net income	**17,532**	**27,243**	**17,532**	**21,304**	**87,754**	**80,677**	**544,376**	**815,920**	**544,376**	**688,967**	**2,726,713**	**2,592,123**
EPS - Basic (In Dollar)	$0.22	$0.35	$0.22	$0.27	$1.11	$1.01	$6.97	$10.45	$6.97	$8.69	$34.51	$32.55
Shares used in computing EPS-Basic (In thousands)	78,059	78,059	78,059	79,263	79,020	79,625	78,059	78,059	78,059	79,263	79,020	79,625
EPS - Diluted (In Dollar)	$0.22	$0.35	$0.22	$0.27	$1.10	$1.01	$6.94	$10.43	$6.94	$8.66	$34.31	$32.39
Shares used in computing EPS-Diluted (In thousands)	78,384	78,230	78,384	79,541	79,464	80,021	78,384	78,230	78,384	79,541	79,464	80,021

Parade Technologies, Ltd. and Subsidiaries.

UNAUDITED CONSOLIDATED BALANCE SHEETS
As of DECEMBER 31, 2025 and 2024

	USD in Thousands		NTD in Thousands	
	Dec 31, 2025	Dec 31, 2024	Dec 31, 2025	Dec 31, 2024
Current assets				
Cash & cash equivalents	346,787	321,193	10,899,523	10,531,902
Accounts receivable, net	59,106	47,711	1,857,706	1,564,455
Inventories, net	115,250	121,460	3,622,307	3,982,669
Other current assets	18,753	19,645	589,403	644,156
Total current assets	539,896	510,009	16,968,939	16,723,182
Non-current assets				
Property, plant and equipment, net	9,480	10,628	297,959	348,491
Right-of-use assets	12,462	9,853	391,665	323,076
Intangible assets	114,918	103,238	3,611,872	3,385,159
Deferred income tax assets	10,374	12,070	326,041	395,788
Other non-current assets	138,708	153,367	4,359,610	5,028,915
Total non-current assets	285,942	289,156	8,987,147	9,481,429
Total Assets	**825,838**	**799,165**	**25,956,086**	**26,204,611**
Current Liabilities				
Accounts payable	39,461	40,288	1,240,250	1,321,038
Other payables	49,976	50,564	1,579,935	1,641,273
Current income tax liabilities	12,630	11,120	396,959	364,626
Lease liabilities - current	4,350	3,830	136,733	125,574
Other current liabilities	8,518	5,900	267,733	193,449
Total current liabilities	114,935	111,702	3,621,610	3,645,960
Non-current Liabilities				
Lease liabilities - non-current	8,111	6,023	254,932	197,502
Total non-current liabilities	8,111	6,023	254,932	197,502
Equity				
Ordinary shares	26,388	26,730	800,578	811,601
Capital reserves	112,239	135,718	3,409,213	4,169,642
Retained earnings	612,930	570,028	18,316,928	16,999,192
Other equity	(2,246)	(4,189)	1,067,030	1,892,540
Treasury shares	(46,519)	(46,847)	(1,514,205)	(1,511,826)
Total equity	702,792	681,440	22,079,544	22,361,149
Total liabilities and equity	**825,838**	**799,165**	**25,956,086**	**26,204,611**



Parade Technologies, Ltd. and Subsidiaries.

UNAUDITED CONSOLIDATED STATEMENTS OF CASH FLOWS
FOR THE TWELVE MONTHS ENDED DECEMBER 31, 2025 and 2024

	USD in Thousands		NTD in Thousands	
	Dec 31, 2025	Dec 31, 2024	Dec 31, 2025	Dec 31, 2024
Cash flows from operating activities				
Income before income tax for the year	95,969	87,355	2,982,394	2,807,161
Depreciation and amortization (including the right-of-use assets)	24,792	22,087	773,025	709,198
Loss on disposal of equipment	-	23	-	736
Loss on disposal of intangible assets	-	356	-	11,444
Share-based compensation cost	18,620	28,617	580,119	908,244
Interest income	(8,973)	(10,851)	(279,202)	(348,613)
Income and expenses having no effect on cash flows	34,439	40,232	1,073,942	1,281,009
Accounts receivable	(11,395)	6,392	(358,139)	209,591
Inventories	6,210	1,425	195,177	46,723
Other current assets	(18,401)	(26,278)	(567,968)	(809,135)
Net changes in assets relating to operating activities	(23,586)	(18,461)	(730,930)	(552,821)
Accounts payable	(827)	(10,739)	(25,996)	(352,146)
Accrued expenses	(4,182)	631	(131,441)	20,691
Other current liabilities	2,619	(1,182)	82,307	(38,749)
Net changes in liabilities relating to operating activities	(2,390)	(11,290)	(75,130)	(370,204)
Cash inflow generated from operations	104,432	97,836	3,250,276	3,165,145
Interest received	8,973	10,851	279,202	348,613
Income taxes paid	(5,577)	(6,101)	(173,904)	(195,899)
Net cash provided by operating activities	**107,828**	**102,586**	**3,355,574**	**3,317,859**
Cash flows from investing activities				
Acquisition of equipment	(4,462)	(4,362)	(139,135)	(140,059)
Acquisition of intangible assets	(145)	(377)	(4,519)	(12,106)
Decrease in refundable deposits	4,067	4,544	127,833	148,979
Increase in other prepayments	(9,791)	(18,769)	(305,278)	(602,670)
Acquisition of business combinations	(9,000)	-	(292,410)	-
Net cash flows used in investing activities	**(19,331)**	**(18,964)**	**(613,509)**	**(605,856)**
Cash flows from financing activities				
Repayment of the principal portion of lease liabilities	(4,211)	(4,023)	(131,303)	(129,164)
Purchase of treasury shares	(45,790)	(28,581)	(1,497,643)	(926,309)
Treasury shares reissued to employees	23,576	26,395	757,965	807,932
Distribution of cash dividends	(40,339)	(32,487)	(1,294,697)	(1,015,560)
Cash dividend regain from canceled share-based compensation	83	66	2,562	2,072
Net cash flows used in financing activities	**(66,681)**	**(38,630)**	**(2,163,116)**	**(1,261,029)**
Effect of exchange rate changes	3,778	(178)	(211,328)	593,327
Net increase in cash and cash equivalents	25,594	44,814	367,621	2,044,301
Cash and cash equivalents at beginning of year	321,193	276,379	10,531,902	8,487,601
Cash and cash equivalents at end of year	**346,787**	**321,193**	**10,899,523**	**10,531,902**